

Multiple Choice

1. **Answer:** A

Options: A) Biased, inconsistent, and inefficient.; B) Biased but consistent; C) Unbiased and consistent; D) Biased but inconsistent for one equation only; E) Unbiased and efficient

Note: Correct option: A - Biased, inconsistent, and inefficient.

2. **Answer:** A

Options: A) 5 percent \$475 in excess reserves; B) 10 percent \$50 in excess reserves; C) 30 percent \$350 in excess reserves; D) 60 percent \$200 in excess reserves; E) 80 percent \$100 in excess reserves

Note: Correct option: A - 5 percent \$475 in excess reserves

3. **Answer:** B

Options: A) exports.; B) exports minus imports.; C) imports.; D) gross domestic product.; E) consumption.

Note: Correct option: B - exports minus imports.

4. **Answer:** A

Options: A) decrease by \$200 million.; B) decrease by \$100 million.; C) increase by \$200 million.; D) decrease by \$10 million.; E) increase by \$500 million.

Note: Correct option: A - decrease by \$200 million.

5. **Answer:** A

Options: A) One can have comparative advantage in producing both goods.; B) One can have both an absolute advantage and a comparative advantage in producing x.; C) One can have absolute advantage and no comparative advantage in producing x.; D) One can have comparative advantage and no absolute advantage in producing x.

Note: Correct option: A - One can have comparative advantage in producing both goods.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'equilibrium quantity rises, but the price change is ambiguous.'

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Conciliation, Mediation, Voluntary Arbitration, Compulsory Arbitration'.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '\$599.69'.

Long Form Response

11. **Answer:** 5 marks, \$0.40. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Keynes supported a market economy with equal government and private enterprise control. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key